

Kazakhstan Economy

Kazakhstan, Central Asia

SIGNAL

Kazakhstan is converting diplomatic access into hard economic agreements at an unprecedented pace.

FRACTURE

The Russia-Ukraine war's spillover effects are now directly disrupting Kazakhstan's hydrocarbon production, exposing the fragility of its core revenue base at the very moment diversification ambitions are peaking.

Kazakhstan's economic diversification will not advance enough over the next 18 months to provide the country with a viable third path.

70%

PROBABILITY

TARGET: DECEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- **\$10B NVIDIA/Firebird AI deal:** Kazakhstan signed a \$10 billion package with Firebird and NVIDIA to build Data Center Valley in Ekibastuz, including a planned 100,000 GPU cluster – the country's most ambitious technology investment to date. Firebird's CEO projected the 2027 launch could place Kazakhstan among the world's top ten in AI infrastructure.
- **EU \$12B+ breakthrough:** Tokayev's Brussels visit (June 21-23) yielded agreements and MoUs valued at over \$12 billion, including 50 Airbus jets (€7.1B), a critical raw materials partnership, and green hydrogen value chain commitments under the EU's Global Gateway program.
- **EU 21st sanctions package targets Kazakhstan:** The EU's 21st package (proposed June 9) explicitly names 20 entities in third countries – including Kazakhstan – for sanctions circumvention. This is the first time Kazakhstan-based entities have been directly targeted by name in an EU sanctions package. The package also proposes freezing the oil price cap at \$44.10 through January 2027.
- **Karachaganak field output cut:** Kazakhstan's Karachaganak oil and gas field cut crude production by over 25% in late June after a drone attack forced the shutdown of a Russian gas processing plant that handles Karachaganak's gas. This is the first time the Russia-Ukraine war has directly disrupted a major Kazakh hydrocarbon asset.
- **US tungsten deal advances:** Kaz Resources (US firm, up to \$1.6B federal financing) secured development rights to the world's largest known undeveloped tungsten deposit

in Karaganda, with Trump personally negotiating terms with Tokayev. Kazakhstan is simultaneously hosting a Chinese tungsten mine in Almaty Oblast.

- **China \$100B trade goal:** Kazakhstan and China reaffirmed a \$100 billion bilateral trade target at the 9th China-Eurasia Expo (June 25). Trade hit \$22B in Jan-May 2026 (+27% YoY). A third cross-border railway was confirmed; border capacity is expanding to 100 million tons annually.
- **New constitution enacted:** Kazakhstan's new constitution took effect July 1, introducing a unicameral Kurultai, vice presidency, and People's Council – consolidating executive authority under Tokayev.
- **Pax Silica and AI Partnership:** Kazakhstan joined the US-led Pax Silica framework and AI Opportunity Partnership (June 28), linking AI development to critical minerals, semiconductors, and trusted supply chains.
- **IsDB \$1.3B industrial zones:** The Islamic Development Bank is expediting a \$1.3 billion Development of Economic and Industrial Zones Project focused on industrial transformation and economic diversification.
- **Multi-vector limits warning:** Analyst Murad Nasibov (June 21) argued Central Asian states are approaching the limits of multi-vector foreign policy, warning that Kazakhstan's rapid deal-making risks exhausting marginal returns before a sustainable framework is built.

ANALYSIS

POLITICAL

Tokayev's multi-vector foreign policy has been tested more intensely over the past month than at any point since the January 2022 protests. The EU's 21st sanctions package – which explicitly targets 20 entities in Kazakhstan, Kyrgyzstan, China, Turkey, the UAE, and India – represents a qualitative escalation: Kazakhstan is no longer a secondary concern in Western sanctions architecture but a named node in the circumvention network. The proposed package freezes the oil price cap at \$44.10 through January 2027 and introduces the possibility of a full prohibition on crypto-asset services to certain third countries hosting platforms that assist Russia in evading EU sanctions.

Simultaneously, Tokayev's Brussels visit delivered the most substantial Western engagement package in Kazakhstan's post-independence history: over \$12 billion in agreements and MoUs, including 50 Airbus jets (€7.1B) and a critical raw materials partnership under the EU's Global Gateway program. This is the political logic of multi-vectorism at its most effective – extracting tangible commitments from the West while maintaining deep economic ties to Russia and China. But the EU's embrace comes with the 21st sanctions package as its shadow: the same Brussels that signed \$12B in deals is simultaneously proposing to sanction Kazakh entities.

The new constitution, enacted July 1, consolidates Tokayev's executive authority through a unicameral Kurultai, vice presidency, and People's Council. While presented as institutional modernization, the reforms concentrate rather than disperse power. This reinforces one of the binding constraints on Kazakhstan's Western partnerships: the authoritarian governance model limits how deeply the EU and US can engage, regardless of how many deals are signed.

The addition of Pax Silica to Kazakhstan's portfolio (June 28) – a US-led framework for trusted AI infrastructure and resilient supply chains – signals that Washington sees Kazakhstan as a strategic partner in the critical minerals-to-AI supply chain. But this places Kazakhstan in direct competition with China's own critical minerals and AI ambitions in the same territory, as the simultaneous US and Chinese tungsten operations demonstrate.

ECONOMIC

The most significant development since the last report is the direct spillover of the Russia-Ukraine war into Kazakhstan's hydrocarbon production. On June 26, Kazakhstan's Karachaganak field – one of the country's three largest hydrocarbon projects, accounting for roughly 10% of national oil production – cut output by over 25% after a drone attack forced the shutdown of a Russian gas processing plant in Orenburg that handles Karachaganak's gas. This is not a theoretical sanctions risk; it is a material production disruption caused by a war Kazakhstan is not a party to. The field cannot reduce gas output without curtailing oil production, creating a direct transmission mechanism from Russian infrastructure vulnerability to Kazakh revenue.

This disruption compounds an already difficult year. Kazakhstan revised its 2026 oil production target down from 100.5 million tons to 98 million tons (confirmed by Energy Minister Akkenzhenov on June 10), citing Tengiz field outages and CPC pipeline disruptions. Production in the first four months of 2026 fell approximately 5 million tons short of target. While CPC loadings hit a record 7.187 million tons in May – driven by Tengiz recovery and Kashagan maintenance postponement to 2027 – the Karachaganak disruption demonstrates that record months can be followed by sudden, externally-imposed losses. The CPC pipeline carries over 80% of Kazakhstan's oil exports through Russian territory to a Russian Black Sea terminal: a structural vulnerability that no amount of AI investment can offset in an 18-month timeframe.

The diversification story, however, is genuinely accelerating. The \$10 billion NVIDIA/Firebird Data Center Valley deal in Ekibastuz – with a planned 100,000 GPU cluster and Firebird Labs Kazakhstan at Alem.ai – represents a step-change in the scale of Kazakhstan's tech ambitions. When NVIDIA's VP Rev Lebedev states that "Kazakhstan has energy... it is an excellent place to start," he is articulating the core competitive advantage: abundant, cheap electricity from Kazakhstan's hydrocarbon and coal resources is being pitched as the foundation for AI compute infrastructure. The irony is that the country's most ambitious diversification project is powered by the very hydrocarbon dependence it seeks to escape.

The US tungsten deal adds a new dimension to the diversification narrative. Kazakhstan holds the world's largest known undeveloped tungsten deposit (1.4 million tons WO_3), and the Kaz Resources project – with up to \$1.6 billion in US federal financing and Trump's personal involvement – could supply approximately 15% of global production. But Kazakhstan is simultaneously hosting a Chinese tungsten mine (Boguty, Almaty Oblast, operational since April 2025), playing both sides of a critical minerals competition that mirrors the broader multi-vector balancing act.

China's economic gravity continues to intensify. The reaffirmed \$100 billion bilateral trade goal at the China-Eurasia Expo (June 25), with trade running at \$22B in Jan-May 2026 (+27% YoY), puts Kazakhstan on a trajectory where China could become its overwhelmingly dominant economic partner within a decade. The third cross-border railway and the expansion of border capacity to 100 million tons annually deepen the physical infrastructure of dependence. The IsDB's \$1.3 billion industrial zones project offers a modest counterweight, but its scale – while significant for an Islamic Development Bank operation – is small relative to the \$48.7 billion China-Kazakhstan trade relationship.

MILITARY

The military dimension has been relatively quiet since the last report, but the Karachaganak incident introduces a new element: Kazakhstan's hydrocarbon infrastructure is now exposed to the kinetic effects of the Russia-Ukraine war. The drone attack on the Orenburg gas processing plant was not directed at Kazakhstan, but the economic consequence – a 25%+ production cut at a major Kazakh field – is the same as if it had been. This underscores the argument made in the previous report: Kazakhstan's 7,644 km border with Russia is both an economic lifeline and a security vulnerability. The country has no meaningful military capability to protect its economic infrastructure from spillover effects of a war on its border.

Tokayev's two-year military modernization deadline and the ANKA UAV production deal with Turkey remain relevant, but they are defensive measures against hypothetical threats, not responses to the actual disruption Kazakhstan is now experiencing. The more immediate military-relevant development is the UK's shift to an "active, repeatable interdiction architecture" – the first direct interception of a shadow fleet tanker on June 14, and the OFSI interdiction general licence enabling ship boardings. If this interdiction architecture extends to CPC-related shipping in the Black Sea, Kazakhstan's primary oil export route could face additional friction.

TECHNOLOGICAL

The technological landscape has transformed since the last report. The \$10 billion NVIDIA/Firebird deal – with a 2027 launch target that Firebird's CEO says could place Kazakhstan among the world's top ten in AI infrastructure – represents the single largest technology commitment in Central Asian history. The Data Center Valley project in Ekibastuz, built around Kazakhstan's energy abundance, is a credible attempt to convert hydrocarbon-era infrastructure into AI-era competitive advantage.

Kazakhstan's accession to Pax Silica and the AI Opportunity Partnership (June 28) places the country within a US-led framework for trusted AI supply chains, explicitly linking AI infrastructure to critical minerals, semiconductors, and energy. This is a sophisticated play: Kazakhstan is positioning itself not just as a data center host but as a node in the physical supply chain that makes AI computing possible – from tungsten for semiconductors to electricity for GPU clusters.

The domestic AI ecosystem continues to mature. Kazakhstan's AI adoption rate (15.9% of the 15-64 population, per Microsoft's Global AI Diffusion ranking) leads Central Asia and the EAEU. AI venture funding reached \$73M in 2025 (fivefold growth since 2023), now accounting for more than half of all VC in Kazakhstan. The emergence of Kazakhstan's first AI unicorn (Higgsfield AI, September 2025) and the \$1 billion target Fund of Funds demonstrate that the ecosystem is graduating from government-dependent to market-attracting. The presidential decree to introduce AI in schools from September 2026 – starting with 10 rural schools, scaling to 500 by January 2027 – addresses the workforce skills gap identified in earlier assessments.

However, the fundamental constraints identified in the previous report remain. The tech ecosystem, while rapidly growing, is still measured in hundreds of millions of dollars – not the tens of billions that would be required to meaningfully offset hydrocarbon revenue dependence. The \$10 billion NVIDIA deal is a commitment, not deployed capital; Firebird's 2027 launch target is aspirational. The "Pipeline Gap" identified by RISE Research – \$0.5-1.1 billion in annual capital needed to match global benchmarks – is significant even without accounting for the infrastructure timeline. And the authoritarian governance model constrains the open innovation culture that powers the most successful tech ecosystems.

The AI-in-schools initiative is strategically important: it addresses the human capital constraint that KPMG's 2025 AI Readiness Report identified as a key gap. But the timeline – 500 schools by January 2027 out of 8,000+ nationwide – means this is a pilot program, not a systemic transformation. The 1 million citizens who have already received AI training (with a 5 million target by 2030) represents real progress, but at current scale the workforce transformation required for a tech-driven "third path" remains years away.

WATCH INDICATORS

- Russian oil price cap status (currently frozen at \$44.10 under EU 21st package proposal) and any formal adoption of Kazakhstan-targeted entity designations
- Karachaganak production recovery timeline and any further spillover disruptions from the Russia-Ukraine war
- CPC pipeline throughput and any Western interdiction actions affecting Black Sea shipping routes
- Progress of the NVIDIA/Firebird Data Center Valley project – construction milestones, regulatory approvals, power infrastructure commitments

- Kazakhstan-China trade trajectory toward \$100B target – quarterly trade data and new infrastructure agreements
- EU 21st sanctions package adoption status – whether Kazakhstan entities remain on the final list after member-state negotiations
- Kaz Resources (US tungsten) project – financing disbursements, construction timelines, and competitive dynamics with the Chinese Boguty mine
- Constitutional reform implementation – how the unicameral Kurultai and vice presidency function in practice
- Private venture capital inflows into Kazakhstan's tech sector relative to the \$0.5-1.1B "Pipeline Gap"
- OPEC+ compliance posture – whether Kazakhstan continues over-producing relative to quota

PROBABILITY TRIGGERS

EVENT	DIRECTION
EU formally adopts 21st sanctions package with Kazakhstan entities designated	Up
Further Russia-Ukraine war spillover disrupts Kazakh hydrocarbon production (CPC, Tengiz, or Kashagan)	Up
Russia successfully pressures Kazakhstan into formal sanctions-bypass cooperation framework	Up
NVIDIA/Firebird Data Center Valley breaks ground and reaches construction milestones on schedule	Down
EU signs comprehensive trade and investment agreement with Kazakhstan beyond the June 2026 MoUs	Down
Oil price drops below \$50/barrel sustained for 6+ months	Up
Kaz Resources tungsten project receives full \$1.6B US federal financing disbursement and begins commercial production	Down
China-Kazakhstan bilateral trade exceeds \$60B in 2026	Up
Private VC inflow into Kazakh tech sector exceeds \$500M annually	Down
Western critical minerals partnership expands beyond tungsten to rare earths, lithium, or uranium processing	Down

KEY SOURCES

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2. Eldwick Law: EU 21st Russia Sanctions Package
3. Eurasianet: Kazakhstan and EU Sign Agreements to Develop Middle Corridor
4. Bloomberg: Key Kazakh Field Cuts Oil Output After Drones Hit Russian Plant
5. Aju Press: Tungsten Race Puts Kazakhstan Between US and China
6. Astana Times: Kazakhstan Pushes for \$100B Trade Goal at Eurasia Expo
7. Newsfile Corp: Kazakhstan Joins Pax Silica and AI Opportunity Partnership
8. Substack: Central Asia May Reach Limits of Multi-Vectorism
9. CryptoBriefing: Kazakhstan Slashes 2026 Oil Production Forecast
10. New Lines Institute: Central Asia Roundup May 2026
11. Fieldfisher: UK, EU and US Sanctions on Russia – June 2026
12. GITEK: Kazakhstan's AI Startup Ecosystem Expands
13. IsDB: \$1.3B Development of Economic and Industrial Zones
14. Euronews: AI to Enter Kazakh Schools from 2026

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